



SPONSOR: Sen. Walsh & Rep. Bush

DELAWARE STATE SENATE
153rd GENERAL ASSEMBLY

SENATE BILL NO. 168

AN ACT TO AMEND TITLE 4 OF THE DELAWARE CODE RELATING TO ALCOHOLIC LIQUORS.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

1 Section 1. Amend subchapter II, Chapter 5, Title 4 of the Delaware Code by making deletions as shown by strike
2 through and insertions as shown by underline as follows and by redesignating accordingly:

3 § 516. Consumption off premises of hotel, restaurant, club, store or taproom.

4 (a) (1) Any person in charge of a hotel, restaurant, club or store (other than a grocery, delicatessen or
5 cigar store), whether owner, lessee or manager, and recognized as such by the Commissioner, may apply to the
6 Commissioner for a license to purchase from an importer and to keep and sell and deliver on the premises only
7 spirits, wine or beer by the bottle, half bottle, keg, half keg, quarter keg, or sixtel, but not for consumption on the
8 premises where sold, or in any dependency thereof. All vessels so sold shall be delivered to the purchaser and shall
9 be removed from the premises where sold with the seals of such vessels unbroken, with the exception of those
10 licenses that are approved by the Commissioner for a growler filler permit which allows a licensee to purchase
11 beer by the keg or partial keg and fill containers at time of purchase which will then be capped to leave the
12 licensed premises for consumption off of the premises. For purposes of issuing a new license under this section, all
13 establishments licensed for the sale of alcoholic liquors, but not for consumption on the premises where sold, shall
14 be considered as being of the same type; provided, however, this shall not apply to the transfer of ownership or the
15 renewal of an existing license.

16 (2) Any person in charge of a store (other than a grocery, delicatessen or cigar store), whether owner,
17 lessee, or manager, and recognized as such by the Commissioner with a valid license for consumption off premises
18 issued pursuant to this section may sell spirits, wine or beer pursuant to paragraph (a)(1) of this section for
19 curbside service or delivery service, for delivery within a 5-mile radius of the store. Any entity with a valid off
20 premise license pursuant to §§ 512A through 512E of this title may sell alcoholic liquor pursuant to its license for
21 curbside service. No person shall provide alcoholic beverage delivery services unless such person or business
22 entity holds a third-party delivery license. Upon proper application, the Commissioner may grant a third-party
23 delivery license to provide alcoholic delivery services to customers so long as the person or business entity is also

24 registered to do business in this State. The Commissioner shall not grant a third-party delivery license to a person
25 or entity that also holds an off premise license. Delivery service must be made by a licensed third-party vendor, or
26 such third party's employee or independent contractor, provided that the off premise licensee has entered into a
27 written agreement with a licensed third-party delivery vendor that authorizes the third-party vendor, or such third-
28 party vendor's employee or independent contractor, to deliver alcoholic liquors on behalf of the off premise
29 licensee. The licensed third-party vendor may not include an entity whose business is primarily the interstate
30 shipment of goods. All sales for curbside or delivery service must ~~de~~ comply with all of the following:

31 a. Comply with Chapter 7 of this title including § 706 of this title, which prohibits sales to
32 intoxicated individuals, and § 708 of this title, which prohibits sales to individuals who have not reached
33 the age of 21 years.

34 b. ~~Be completed and delivered~~ Be sold and served on the premises only by a person certified as a
35 responsible alcoholic beverage server pursuant to § 1205 of this title.

36 c. If sold in a transaction for delivery service:

37 1. Be delivered by a licensed third-party vendor, or such licensed third-party vendor's
38 employee or independent contractor, who is at least 21 years of age, is certified as a responsible
39 alcoholic beverage server pursuant to § 1205 of this title, and has been provided a program of
40 learning content related to the responsible delivery of alcoholic beverages that has been
41 approved by the Commissioner. A third-party delivery vendor's program shall address all of the
42 following topics:

43 A. Age requirements for possessing, purchasing, and consuming alcoholic
44 beverages.

45 B. Acceptable forms of identification.

46 C. Methods to detect fake and altered forms of identification.

47 D. Typical signs of intoxication.

48 E. Methods of detecting intoxication in consumers.

49 F. Reasons to refuse delivery, including that a consumer failed to provide valid
50 identification, was underage, or displayed signs of intoxication.

51 G. How to use ID scanning technology to verify a recipient's age.

52 2. If delivered by motor vehicle, be placed in a trunk, rear compartment, back seat, or
53 other area that is not readily accessible to the driver of the vehicle.

3. Be conveyed to the purchaser to whom the alcoholic liquors are being delivered only after the licensed third-party delivery vendor, or such third party's employee or independent contractor, has verified that the recipient is not intoxicated and is 21 years of age or older, signified by the recipient's identification with a photograph that reasonably appears to match the appearance of the recipient. The licensed third-party delivery vendor shall maintain a record of the following information for all recipients for a period of 2 years: name, date of birth, and address to which the alcoholic beverages were delivered. If such person's age and apparent sobriety cannot be verified, the alcoholic liquors must be returned to the premises of the licensee.

4. The delivery is completed during the hours in which the off premise licensee is lawfully allowed to sell alcoholic liquors.

5. If the off premise licensee uses a web application or internet website to facilitate delivery of alcoholic liquors by a licensed third-party vendor, the sales transactions take place between the customer and the off premise licensee, and the off premise licensee appears as the merchant of record.

6. Only alcoholic beverages obtained directly from the off premise licensee with which the order was placed may be delivered.

7. May not be delivered out-of-state or to a state-operated facility, a correctional facility, a hospital, a locker mailbox, a post office box, a package shipping or storage facility, a retail licensee, a public school, a charter school, a grade school, a middle school, a high school, undergraduate housing at an institution of higher learning, or outside of the State of Delaware.

8. The third-party delivery vendor must provide all equipment necessary to effect delivery, at no charge to the store.

9. In addition to application requirements and any regulations promulgated by the Commissioner, third-party delivery licensees shall provide to the Commissioner, upon request, a copy of any contracts entered into by the third-party delivery licensee with any off premise licensee offering alcoholic beverages for delivery.

d. An off premise licensee's responsibilities under this section regarding delivery of alcoholic liquor to a consumer by a licensed third-party delivery vendor are considered satisfied at the time the off premise licensee transfers possession of the alcoholic liquor to the licensed third-party delivery vendor, or

84 such third party's employee or independent contractor. The acts during delivery of a licensed third-party
85 delivery vendor or such third party's employee or independent contractor are not attributable to the off
86 premise licensee.

87 Section 2. Amend subchapter IV, Chapter 5, Title 4 of the Delaware Code by making deletions as shown by strike
88 through and insertions as shown by underline as follows:

89 § 554. License fees.

90 (ss) For a license to provide third-party delivery services as provided in ~~§ 512~~ §§ 512 and 516 of this title, the
91 biennial fee shall be \$1,000.

92 Section 3. This Act expires 3 years after its enactment into law, unless otherwise provided by a subsequent act of
93 the General Assembly.

SYNOPSIS

 This Act allows for the delivery of alcoholic liquors from any entity with a valid off premise license. In addition, this Act provides that the acts of a licensed consumer delivery permittee or a delivery driver are not attributable to the retailer.

Author: Senator Walsh